



Global Acquisitions

U.S. DEPARTMENT *of* STATE

SOLE SOURCE JUSTIFICATION UNDER FEDERAL SUPPLY SCHEDULE

SECTION 1: IDENTIFICATION OF THE AGENCY AND THE CONTRACTING ACTIVITY

Department of State Contracting Activity

☒ Acquisition Management

Requiring Activity

Bureau of Economic, Energy, and Business Affairs (EEB)

SECTION 2: NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED

Approval is requested to solicit and award an order to KPMG LLP, 8350 Broad St, Suite 900, McClean, VA 22102, UEI MAA3SBDQVM1 under General Services Administration (GSA) Multiple Award Schedule (MAS): GS-00F-275CA for the supplies and/or services described in Section 3 on behalf of the Requiring Activity.

The Government seeks to procure services that establish and operationalize a secure, compliant, and transparent financial monitoring mechanism that the selected contractor can deploy for the review, control, tracing, and validation of revenues associated with Venezuelan natural resource transactions and related fund disbursements, such as those from designated United States Department of the Treasury accounts (“U.S.-controlled accounts”) in accordance with Executive Order 14373. The resulting contract should furnish advisory and operational support that enables the DoS to exercise informed oversight, protect against fraud and corruption, and help ensure that funds benefit the Venezuelan people in accordance with U.S. foreign policy priorities.

A Time & Materials (T&M) award is anticipated.

SECTION 3: DESCRIPTION OF SUPPLIES/SERVICES REQUIRED TO MEET THE AGENCY’S NEEDS

The Government anticipates a complex operating environment at the intersection of diplomacy, financial management, sanctions compliance, commodity trading, and public-sector expenditure oversight. The contemplated mechanism must address risks associated with vetting inbound funds, oil sale transaction integrity, disbursement validation, foreign exchange (mis)use, tracing of outflows through the Central Bank of Venezuela (BCV) and other financial channels, and verification that downstream recipients use funds for authorized purposes.

The Government therefore seeks the services of the selected contractor capable of designing, implementing, and sustaining a high-integrity financial oversight framework that can scale as needed and as transaction volumes increase and that can provide disbursement transparency and reliable data for policymakers, as well as evidence and documentation for executive and legislative stakeholders.

The Contractor will, in consultation with the Government, deliver an integrated capability for the Venezuelan Revenue Transparency Mechanism that can strengthen governance, compliance, and program-level risk management; support the vetting of inflows, counterparties, budget requests, and downstream recipients; enable auditable tracing of disbursements and verification that downstream recipients use funds for authorized purposes; provide data-driven financial, forensic, and market analysis to detect revenue leakage or misuse; and establish repeatable processes, documentation standards, and reporting that support oversight and long-term financial sustainability. The contractor will provide all necessary personnel, materials, and services to perform the tasks outlined below, as requested by the Government.

- Compliance and Risk Management
- Inflow and Counterparty Vetting
- Disbursement and Recipient Validation
- Traceability, Auditing, and Verification
- Commodity, Pricing, and Market Integrity
- Data, Automation, and Reporting
- Technical Advisory and Surge Support

The estimated value for the entire period of performance including the one-year base and four one-year option years is up to \$84,384,634.38. The pricing of KPMG is based on their negotiation and established labor rates under the GSA MAS, with a 4% discount offered to the DoS, based on the total value of the contract.

SECTION 4: AUTHORITY AND SUPPORTING RATIONALE

This acquisition is conducted pursuant to Federal Acquisition Regulation Overhaul 8.401(b) and General Services Acquisition Regulation 538.7104-3 (b) (ii):

☒ “Only one source is capable of providing the products, services, or solution required at the level of quality required because the products, services, or solutions are unique or highly specialized.”

Managing Venezuelan natural resource revenue to promote urgent economic stability in Venezuela is a top U.S. foreign policy priority, with a critical need to establish a secure and transparent financial framework for the sale and distribution of revenue resulting from those

transactions. Financial transactions are already underway to ensure liquidity in the Venezuelan economy and support critical government expenditures, making it especially urgent to hire a qualified and independent auditor immediately to help monitor transactions involving Foreign Government Deposit Fund accounts. There is only one auditing firm available under the MAS that (1) can meet the Government's specialized requirements including experience with similar financial monitoring mechanisms, (2) acceptability to the Central Bank of Venezuela, and (3) ability to begin establishing the mechanism required almost immediately.

SECTION 5: DETERMINATION BY THE ORDERING ACTIVITY CONTRACTING OFFICER THAT THE CONTRACT ACTION REPRESENTS THE BEST VALUE CONSISTENT WITH FAR 8.305

The Contracting Officer has determined that the anticipated price(s) will be fair and reasonable based on KPMG's established price list through its GSA MAS and the logical connection between KPMG's proposed labor hours and the efforts proposed, and that this represents the best value to the Department. DoS has compared KPMG's cost proposal against the pricelist available through GSA and the reviewers confirmed KPMG has discounted their rates as agreed to through its existing GSA contract. Further, the Government verified that certain hourly rates outside of the MAS price list do reflect the rates typically paid in the commercial marketplace for the specific services and skill levels for which those rates are proposed. This is a time and materials contract, under which the scale of the contractor's efforts will be determined by subsequent Government direction; therefore, our reasonableness evaluation focuses on the hourly rates and markups on ODCs the contractor is proposing. Further, the contractual costs will ultimately be borne by the Government of Venezuela as funding for the contract will be paid with proceeds from the sale of commodities to buyers or purchase of diluents from suppliers to Venezuela.

By signing the justification, the Contracting Officer makes a determination that the cost of \$84,384,634.38 to the Government is expected to be fair and reasonable.

SECTION 6. DESCRIPTION OF THE MARKET RESEARCH CONDUCTED AMONG SCHEDULE HOLDERS AND THE RESULTS OR A STATEMENT OF THE REASON MARKET RESEARCH WAS NOT CONDUCTED

Limited market research was conducted with firms to determine their capabilities and familiarity with the requirements of, and acceptability to, the Central Bank of Venezuela. The Government identified and contacted several firms believed to have relevant experience in international financial advisory and audit-related services. During this research, the Government assessed:

1. Each firm's prior experience providing services to, or in coordination with, central banks or comparable sovereign financial institutions.

2. The firm's understanding of the regulatory, compliance, and operational environment applicable to the Central Bank of Venezuela and familiarity with key Venezuelan institutions and personnel
3. The firm's ability to initiate and perform work in a timely manner given the specific geopolitical, financial, and sanctions-related context.

The results of this market research indicated that only one firm demonstrated (1) established acceptability to the Central Bank of Venezuela, (2) a proven ability to conduct business effectively with that institution under current conditions, and (3) the firm's ability to begin establishing the required mechanism almost immediately and to initiate and perform work in a timely manner given the specific geopolitical, financial, and sanctions-related context. Based on this analysis, KPMG was selected as the potential vendor for the resultant contract.

The principal barriers that led to restricted consideration in this acquisition are the requirement that the vendor be acceptable to, and operationally capable of doing business with, the Central Bank of Venezuela in a highly specialized and constrained environment, along with the requirement that it be able to begin work immediately.

Before any subsequent acquisition for similar supplies or services is made, the agency may take the following actions to remove or reduce these barriers, to the extent practicable, provided that circumstances do not support continued sole-sourcing on the logical follow-on basis for restricting competition:

1. Earlier Market Engagement: Conduct earlier and more extensive market research, including Requests for Information (RFIs) or Sources Sought notices, to identify additional firms that may be developing relevant capabilities and relationships with central banks or comparable entities.
2. Periodic Market Surveillance: Periodically review the market (e.g., annually or prior to future requirements) to determine whether additional firms have gained relevant experience, obtained necessary approvals, or otherwise become acceptable to the Central Bank of Venezuela or similar clients.

The Department will continue to examine capabilities of vendors in the future, as additional or new requirements, similar in nature, are identified.